Repeated Games (Not in the Book)

ECON 5001
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Where We Left Off

Deck 03: Dos Hermanos vs. Pitabilities

Dos Hermanos \ Pitabilities	Normal	Discount
Normal	2, 2	0, 3
Discount	3, 0	1, 1

Discount is strictly dominant. NE: (Discount, Discount)

But these trucks park on the same block **every day**

- Can tomorrow change what happens today?

MobLab: “Prisoner’s Dilemma (Matrix)”

- MobLab time!
- Same partner for a whole game. Payoffs on your screen
- **Game 1:** exactly 4 rounds
- **Game 2:** new partner. After each round, 25% chance the game ends
  - Nobody knows which round is the last one

Feel free to talk! And play it the way you’d actually play it.

Play a Game Twice

Example

Player 1 \ Player 2	L	C	R
T	1, 1	5, 0	0, 0
M	0, 5	4, 4	0, 0
B	0, 0	0, 0	3, 3

Pure NE: _____

Best for both: _____

Example

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Is (M, C) a NE? _____

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Is (M, C) a NE? _____

Now play it **twice**:

- Period 1: play the game. Everyone sees what happened
- Period 2: play it again
- Total payoff $=$ period 1 payoff $+$ period 2 payoff

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Can (M, C) happen in period 1???

A Strategy With a Threat

Player 1 \ Player 2	L	C	R
T	1, 1	5, 0	0, 0
M	0, 5	4, 4	0, 0
B	0, 0	0, 0	3, 3

Period 1: P1 plays M, P2 plays C

Period 2:

- If (M, C) happened: play (B, R)
- Otherwise: play (T, L)

Reward with the good NE. Punish with the bad NE

Check P1 in period 1:

- Conform (M): $____ + ____ = ____$
- Deviate (T): $____ + ____ = ____$

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- Deviate (T): ____ + ____ = ____

Period 2? Every period-2 subgame plays a _____

Every Period-2 Subgame

After period 1, there are _____ possible histories. Each starts a subgame

Period 1 outcome	*L*	*C*	*R*
T			
M			
B			

Fill in: what's played in period 2 after each one?

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Lesson: Multiple stage NE $\Rightarrow$ can **punish** & **reward**

Formalizing Repeated Games

Stage Game vs. Supergame

- **Stage game** G: the game played each period
  - Our 3×3 game, or the trucks' PD
- **Supergame** G^T: play G in periods $t = 1, 2, \ldots, T$
  - Everyone sees all past play
  - T can be finite or ∞

Action: what you do in **one** period

- $a_i^t \in A_i$ (eg, M)
- Profile: $a^t = (a_1^t, a_2^t)$

Strategy: a complete plan for G^T

- What to do in **every** period
- ...after **everything** that could happen

Histories

History at the start of period t: everything that happened before t

$$h_t = (a^1, a^2, \ldots, a^{t-1})$$

- $h_1 = \emptyset$ (nothing has happened yet)
- $H_t =$ set of all possible histories at the start of period t

Ex: In our 3×3 game:

- $h_2 = (M, C)$ is one history
- $|H_2| =$ _____ $|H_3| =$ _____

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Each history starts a **subgame** (it's a singleton node in the tree)

Pure Strategy in a Repeated Game

Definition
A **pure strategy** for Player i is a function s_i that maps every history to an action: $s_i(h_t) \in A_i$ for every h_t in every H_t

Back to our 2-period game. Our threat strategy for P1:

$$s_1(\emptyset) = _____$$
$$s_1\big((M, C)\big) = _____$$
$$s_1(h_2) = _____ \quad \text{for every other } h_2$$

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How many choices to specify? $1 + ____ = ____$
of pure strategies: _____

Two Kinds of Equilibrium

Stage-game NE: a NE of G (one period)

- (T, L) and (B, R) in our example

Equilibrium of the supergame: a NE or SPNE of G^T

- A profile of **strategies** (s_1, s_2), not actions
- SPNE: a NE in the subgame after **every** history

Ex: our threat strategies are a SPNE of G^2

- But period-1 play (M, C) is **not** a stage-game NE!

Stage NE Every Period Is Always Safe

Theorem
Let a^* be a NE of the stage game G. Then "play a^* in every period, no matter what happened" is a SPNE of G^T.

Same for any **sequence** of stage NE that ignores history: $a^{1*}, a^{2*}, \ldots$

Why?

- Future play doesn't depend on what I do today
- So today, only today's payoff matters
- a^* is a stage NE $\Rightarrow$ no profitable deviation today

Thus: $SPNE(G^T)$ is never empty if G has a NE

The Trucks, Twice

Two-Period Price War

Dos Hermanos \ Pitabilities	Normal	Discount
Normal	2, 2	0, 3
Discount	3, 0	1, 1

Try the same trick:

- Period 1: Normal
- Period 2: reward if both played Normal, punish otherwise

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Reward with what?
Punish with what?

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Period 2: every subgame is a one-shot PD $\Rightarrow$ _____

Period 1: period 2 is the same no matter what $\Rightarrow$ _____

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Problem: only **one** stage NE. Nothing to punish with

Any Finite Number of Periods

- Period T: last period. Play _____
- Period $T-1$: period T is locked in. Play _____
- Period $T-2$: ...
- ...
- Period 1: _____

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If G has a unique NE and T is finite, the only SPNE of G^T: play that NE every period.

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Cooperation **unravels** from the end. Same as the centipede game!

But In the Lab...

Lab result: people **do** cooperate in finitely repeated PDs

- Lots of cooperation early
- Collapses in the last few rounds ("end-game effect")
- With experience, the collapse starts earlier

More cooperation when players aren't sure the other is purely selfish

- A little doubt about the other's **type**...
- We'll see this in Chapter 15!

Our MobLab Game 1: _____

Source: Caplan, *A Practicum in Behavioral Economics*, §3, p. 176.
Selten & Stoecker (1986, *JEBO*); Andreoni & Miller (1993, *EJ*).

Play Forever

No Last Period

Unraveling needs a **known last period**

What if there isn't one?

- $T = \infty$, or
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Problem: payoffs add up to infinity

- Always Normal: $2 + 2 + 2 + \cdots = \infty$
- Discount once, then both Discount: $3 + 1 + 1 + \cdots = \infty$

Can't compare ∞ to ∞!

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Can't compare ∞ to ∞!

Fix: future payoffs count **less** than today's

Discounting: Money Now vs. Later

Interest rate $r = 10\%$:

- \$90.91 today grows to $\$90.91 \times 1.10 = \$100$ next year
- So \$100 next year is worth _____ today
- And \$100 in two years? _____

Discount factor: what \$1 next period is worth today

$$\delta = \frac{1}{1+r} = \frac{1}{1.10} = 0.9091$$

With both: $\delta = p/(1+r)$.

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Also: if the game continues with probability p, then $\delta = p$

- MobLab Game 2: $\delta =$ _____

With both: $\delta = p/(1+r)$.

Utility of a Stream of Payoffs

Payoff u_i^1 today, u_i^2 next period, u_i^3 after that, ...

Exponential discounting: add them up, discounting each period by another δ

$$U_i = u_i^1 + \delta u_i^2 + \delta^2 u_i^3 + \cdots = \sum_{t=1}^{\infty} \delta^{t-1} u_i^t$$

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Fact: if $0 \leq \delta < 1$, this is **finite**

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Ex: x every period forever:

$$S = x + \delta x + \delta^2 x + \cdots \qquad \delta S = _____$$

$$S - \delta S = ____ \quad \Rightarrow \quad S = _____$$

The Infinitely Repeated Price War

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One SPNE we already know:

- Always Discount, no matter what
- Why? _____

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Grim Trigger:

- Period 1: play Normal
- Keep playing Normal as long as **everyone** always has
- Once anyone plays Discount: Discount **forever**

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As a function of histories: $s_i(h_t) =$ Normal if h_t is all (N,N), otherwise $s_i(h_t) =$ Discount

Is Grim Trigger a SPNE?

Two kinds of subgames:

1. Someone already played Discount

- Both play Discount forever: stage NE every period
- Theorem $\Rightarrow$ no profitable deviation ✓

2. Everyone always played Normal

- Conform: $2 + 2\delta + 2\delta^2 + \cdots =$ _____
- Deviate (Discount today):
  - Today: _____
  - Then punished forever: $\delta + \delta^2 + \cdots =$ _____

Enough to check deviating once: after you deviate, Discount forever is your best reply anyway.

The Threshold

In words: cooperating forever must beat grabbing 3 today and getting punished forever

$$\underbrace{\frac{2}{1-\delta}}_{\text{cooperate forever}} \geq \underbrace{3}_{\text{grab today}} + \underbrace{\frac{\delta}{1-\delta}}_{\text{punished forever}}$$

Solve for δ:

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In interest rates: $r \leq$ _____ Patient enough $\Rightarrow$ cooperation!

Back to MobLab

	Round 1	Round 2	Round 3	Round 4	Round 5+
Game 1: % cooperate					—
Game 2: % cooperate					

Game 2: $\delta =$ _____. MobLab's payoffs: Grim Trigger works iff $\delta \geq \frac{1}{2}$

Lab result: cooperation rises with δ. Dal Bó (2005, *AER*); Dal Bó & Fréchette (2011, *AER*).

Other Strategies

- **Tit-for-Tat:** start Normal, then copy what they did last period
  - Won Axelrod's computer tournaments (1980)
  - Nice, retaliatory, forgiving
- **Always Normal**, no matter what
  - Is (Always Normal, Always Normal) a SPNE? _____
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Lesson: cooperation needs a credible **threat**

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This Is Everywhere

Repeated PDs, with cooperate / defect in each:

- **Cartels:** OPEC members: stick to quota / pump more
- **Price wars:** airlines on a route: hold fares / slash fares
- **Trade:** countries: keep tariffs low / raise tariffs
- **Roommates:** do your chores / let them pile up
- **Online sellers:** ship what you promised / ship junk
- **WWI trenches:** shoot to miss / shoot to kill

In each: the **future** keeps people honest today

Trenches: “live and let live,” Axelrod (1984), Ch. 4.

But Those Are More Complicated

Real versions add:

- **Imperfect monitoring:** secret discounts. Was that a cut or bad luck?
- **Many players:** who do you punish?
- **Entry:** new players who weren't part of the deal
- **Renegotiation:** after a cut, both want to "let bygones be bygones"

Core tension survives: today's gain vs. tomorrow's punishment

How Much Can Repetition Do?

Minmax Payoff

In words: the worst the others can hold you to, if you always best respond

$$v_i = \underbrace{\min_{a_{-i}}}_{\text{others hurt you}} \underbrace{\max_{a_i} u_i(a_i, a_{-i})}_{\text{you best respond}}$$

Ex: the trucks

- If Pitabilities plays Normal, Dos Hermanos's best: _____
- If Pitabilities plays Discount, Dos Hermanos's best: _____
- So $v_{DH} =$ _____

Others could also mix to hold you down. We'll ignore that.

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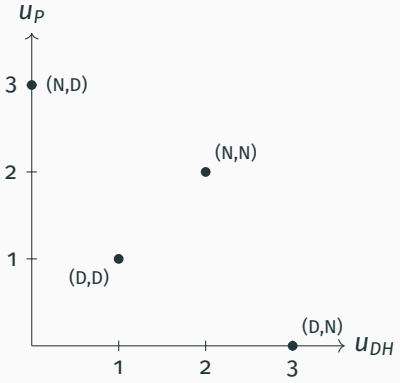
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- If Pitabilities plays Normal, Dos Hermanos's best: _____
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Fact: You can always get at least v_i. No equilibrium can give you less

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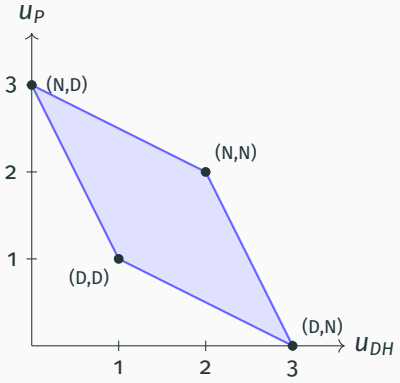
Feasible Payoffs



Per-period average payoffs

Average payoff: $(1-\delta)U_i$. Getting x forever gives an average of x.

Feasible Payoffs

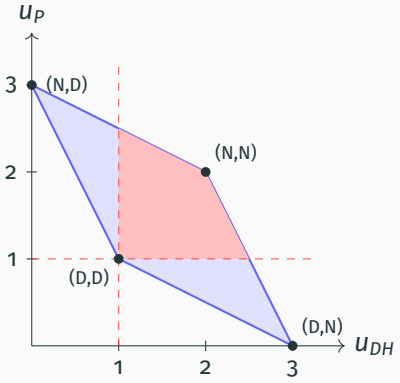


Per-period average payoffs

Feasible: any mix of the four outcomes (take turns, etc.)

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Feasible Payoffs



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Feasible: any mix of the four outcomes (take turns, etc.)

Above minmax: both get more than $v_i = 1$

Average payoff: $(1-\delta)U_i$. Getting x forever gives an average of x.

The Folk Theorem

Folk Theorem (stated without proof)
In an infinitely repeated game, **any** feasible payoff giving every player more than their minmax v_i is the average payoff of some SPNE, if δ is close enough to 1.

- "Folk": everyone knew it before anyone published it
- Trucks: anything in the red region. Including (2,2)!
- Also including _____ (barely better than always Discount)

Not in the book. Friedman (1971); Fudenberg & Maskin (1986, *Econometrica*). Some technical conditions apply.

So... Anything Goes?

If almost **any** outcome is an equilibrium,
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Yes, still useful:

- **When** cooperation is possible: patience, no known end, seeing what others did
- **Comparative statics:** higher $\delta \Rightarrow$ more cooperation. The lab agrees
- Explains **institutions**: reviews, credit scores, cartel meetings

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New question: which equilibrium? Focal points, talking, culture...

Let’s Work One Out

Gas on Lane Avenue

Shell and Speedway face each other at the same intersection. Every day each posts a **High** or **Low** price. Shell has the bigger brand

		Speedway: High	Speedway: Low
Shell	High	6, 4	1, 6
Shell	Low	8, 1	3, 2

Shell picks the row, Speedway the column. Payoffs (Shell, Speedway) in $100s per day

They play forever, discount factor δ

Gas on Lane Avenue

1. Find the stage-game NE and each station's minmax payoff

2. For which δ is Grim Trigger (High until anyone goes Low) a SPNE? Whose incentive binds?

3. Now a price cut is only noticed **one day late**. New threshold?

4. Folk theorem: can average payoffs $(4, 3)$ be a SPNE for δ near 1? What about $(2, 5)$?

What Have We Learned, Charlie Brown?

- **Stage game** vs. **supergame**. Actions vs. strategies
- Strategy: a map from **histories** to actions
- Stage NE every period: always a SPNE
- Multiple stage NE: reward and punish, even with T finite
- Unique stage NE and T finite: **unraveling**
- $T = \infty$: discount with δ. Grim Trigger works if δ is big enough
- **Folk theorem**: anything above minmax, if patient enough

Reading & Practice

- Not in Bonanno. These slides are the reading
- Optional: Osborne, *An Introduction to Game Theory*, Chapters 14–15
- Optional: Caplan, §3, p. 176 (finitely repeated PD)
- Practice: redo the trucks with $(N, N) = (2.5, 2.5)$. New threshold?